

HOW IT ALL BEGAN

Kota, with little to recommend it save a fort in neighbouring Bundi, the Kota stone and sari, was always the lesser of Rajasthan's illustrious cities like Jaipur, Jodhpur, Jaisalmer and Udaipur. Dubbed 'the Kanpur of Rajasthan', it was home to power, engineering, chemicals and fertiliser companies, and prone to labour unrest and violent street crimes. Coaching became a lifeline for the city when its industrial fortunes started waning in the 1980s and '90s.

The man who started it all, V.K. Bansal, was, in fact, a mechanical engineer working for JK Synthetics, staring both at the closure of his company as well as a health crisis—a diagnosis of muscular dystrophy. Coaching students led him to an alternative livelihood and, soon enough, his students began cracking the IIT-JEE. That was the beginning of Bansal Classes. After its success, other institutes sprung up, often founded by former Bansal faculty—likeAllen, Career Point, Resonance and Rao Academy.

The coaching boom was helped along by disproportionately few seats in premier institutions like the IITs, creating a massive market for extra-curricular instruction. With school education unable to prepare students for entrance tests for professional courses and exam marks ceasing to be a factor in admission to IITs, coaching stepped in to bridge the critical gap. At its peak, Kota attracted 225,000 students annually, each spending an average of Rs 4 lakh on tuition, boarding, food and other expenses. This injected nearly Rs 8,000-10,000 crore into the local economy, creating 300,000-odd direct and indirect jobs.

That golden run began to unravel in 2022–23. From 225,000 in 2022–23, the number of students dropped to 175,000 in 2023–24, and further to 122,000 by March 2025. The hope that the return to physical classrooms post the pandemic and the failure of online players like Byju's and Unacademy would bring back the numbers receded soon. "We are staring at a 40 per cent drop in Kota," admits Allen founder Naveen Maheshwari. "Allen had 128,000 classroom students in 2022–23. That fell to 90,000 in 2023–24 and is now down to 65,000." Allen has now closed two of its centres in Indira Nagar and Talwandi. It has opened centres in student-rich states like Uttar Pradesh and Bihar, routing a lot of its IIT-JEE aspirants to Lucknow and Patna. Maheshwari, though, denies that the shift in gears is due to falling student numbers. "The number of students arriving from different cities to Kota," he says, "have fallen in the same proportion as from, say, Lucknow or Patna." He and the others are still hoping that a good showing in the JEE and NEET exams will bring back the students by July-end.

CRUMBLING REAL ESTATE

The city's meteoric rise had also triggered a speculative real estate frenzy. Property rates in coaching zones soared to Rs 12,000 per sq. ft. Many locals sold ancestral homes, channeled retirement savings or pledged personal assets for loans to build PG facilities. Very often, coaching centres—or their faculty—themselves invested in or leased hostels, nudging students toward them. Some developers used hoardings announcing new coaching branches to attract investors, allegedly offering kickbacks or cheap land to institute owners.

As a result, Kota now has close to 4,500 PG hostels. Pre-Covid, most of them ran at 85–100 per cent occupancy, and several were managed by branded chains offering premium accommodation, with libraries, gyms and mess facilities. Today, occupancy hovers at 10-30 per cent, except in core coaching zones like Talwandi, Indira Vihar and Rajiv Gandhi Nagar. Rents, too, have dropped—from Rs 8,000 to Rs 2,000. In areas like Landmark, all-inclusive boarding and lodging packages have fallen from Rs 30,000 per month to Rs 15,000–18,000. Even the city's 1,500-odd mess operators are reporting staggering losses. Lucky Gochar, 20, who runs 'Lucky Restaurant' in Landmark City, laments, "Footfall is down to a fifth." Autorickshaw drivers, fruit sellers and bookshop owners are feeling the pinch too.

Locals blame coaching institutes for creating the bubble. "We made Kota expensive," says Nitin Vijay, founder and CEO of Motion Education. "Parents are now looking at more affordable cities closer home." Once, Kota attracted students from Bihar, Uttar Pradesh, Gujarat, Maharashtra, Haryana, Punjab, Madhya Pradesh and Delhi, but institutes like Motion, Allen et al, which may have started in Kota, now have on average 60-70 centres in at least 15-20 states. Real estate developers are unhappy with prominent coaching institutes shifting base. Investors in Coral Park claim to have put in Rs 17,000 crore, based on Allen's